

UNFINISHED AGENDA

Basic reforms in social and physical infrastructure will help sustain higher growth, create jobs and reduce poverty

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AJIT RANADE

- Consolidate employment programmes.
- Raise investment in urban infrastructure.
- Introduce reforms in power sector.

- Try and achieve 11th Plan power target.
- Free vocational education from Govt's control.
- Implement farmers' panel's suggestions.

SHANKAR ACHARYA

- Introduce labour reforms.
- Implement power sector reforms.
- Reduce the fiscal deficit.

- Maintain competitive exchange rate.
- Invest in and privatise power sector.
- Reduce regulatory barriers to retail expansion.

BIBEK DEBROY

- Scrap Rural Employment Guarantee Act.
- Scrap all GoMs and commissions.
- Implement administrative reforms.

- Remove licensing controls in education.
- Pay panchayats directly for central schemes.
- Enact Mallimath report on criminal justice.

SUBIR GOKARN

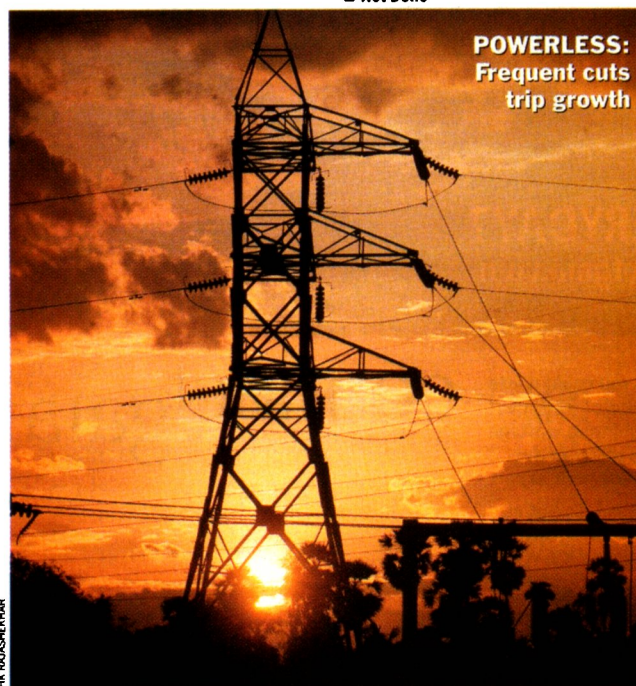
- Reforms for improvement in infrastructure.
- Reforms in labour laws.
- Free inter-state movement of goods.

- Invest in infrastructure.
- Reform education system for skills training
- Introduce reforms in labour market.

SIDDHARTHA ROY

- Implement policy on national resources.
- Reform power sector.
- Free movement of farm produce.
- Not Done

- Lower the interest rates.
- Keep the currency competitive.
- Introduce reforms in agricultural sector.



POWERLESS:
Frequent cuts
trip growth

Infrastructure investment costs will soon shoot up to 9 per cent of GDP.

Where will the funds come from?

SIDDHARTHA ROY, CHIEF ECONOMIST, TATA GROUP

4.75 to 5 per cent of GDP to about 9 per cent by the year-end. Where is the money going to come from? It will be risky to use reserves for a project which is not earning or which doesn't have a large forex component.

Ranade: The three inhibitors are power, urban infrastructure and education. I am going to include social infrastructure in education. We always like to think of Chinese infrastructure as the benchmark. But please remember that not a single private dollar has gone into building Chinese infrastructure. We are trying to do a private-public partnership. It is going to be a challenging thing. Second, we need to fix urban infrastructure. Governing cities is a huge challenge. I think education should also be treated like a public good. An educated workforce has its own externalities. That is also a big challenge.

Debroy: In the Soviet Union, Lenin had said that socialism is equal to Soviets plus electrification. For us, socialism is Soviets minus electrification.

Acharya: The quick point I mentioned is water and nobody else picked it up as a key part. I think, maybe in the short run, you can think about it. But in the medium run, it is going to be a big constraint as a component of urban infrastructure. The quality of water is deteriorating. This is where the public nature of it comes out. Public health is a big issue in urban areas. As we all know, in many districts in rural areas, groundwater levels have declined already. One of the reasons why our agricultural growth has probably been stagnating. We have a long way to go.

by Shankar Aiyar and Nandini Valsh